

THE EQUITY EXPRESSION OF THE OIL & GAS THESIS

The Ceiling Nobody Can Reach

On 2 August, seven OPEC+ producers agreed to lift September quotas by 188,000 barrels a day, completing the reversal of roughly 3.5 million barrels a day of cuts first announced in 2023. The headline reads as loosening. The arithmetic underneath does not. In June the wider OPEC+ group was pumping some 7.51 million barrels a day *below* the target it already had, and the International Energy Agency put the group's effective spare capacity at 0.18 million barrels a day. A cartel that cannot meet its existing ceiling has just raised it.

That gap — between permission to produce and the ability to produce — is what this edition is about. Brent sits at \$83.43, up a quarter on the year but far below April's peak, while refining margins have gone to records and the sector's profits have migrated downstream.

A reframe worth holding onto

The internal Wiki's oil & gas page, built almost entirely on 13D Research, argues that the market is watching the wrong variable. Its case is that a decade of exploration underinvestment — discoveries down more than half over ten years, exploration spending halved in real terms since 2015 — has quietly hollowed out the supply side, so that "the world has been able to live off the upstream investments that were made between 2000 and 2015." On that reading, price is a lagging indicator of a deficit that has already happened. This is 13D's view, not a forecast, and the external record cuts against it in one important place.

Method. All prices, company results and agency figures are external and dated: OPEC's 2 August communiqué, company press releases, the IEA's June 2026 Oil Market Report, US reserve data, and market data as at 7 August 2026. Internal Wiki material is a named provider's opinion, labelled as a view, never treated as fact; where the two disagree, both are stated.

Picture a county fire service announcing that it has raised its maximum pumping rate. The new limit is real, signed off, effective next month. But three of the district's hydrants are dry, both access roads to the industrial estate are blocked, and half the engines sit in a workshop waiting for parts that stopped being made a decade ago. Raising the stated rate changes nothing about how much water reaches a fire. Meanwhile the one business in the county unambiguously thriving is the workshop — because seven of the ten repair yards have shut since 2019, and every brigade for a hundred miles queues at the three that remain. The announcement is about capacity. The invoice is about scarcity. Only one of them is getting paid.

THE STORY IN 60 SECONDS

\$83.43

Brent crude per barrel, up 1.1% on the day, 6.9% on the month and 25.3% on the year. WTI \$78.07. Well below the \$126 peak recorded earlier in 2026. *Trading Economics, as at 7 August 2026.*

\$36.33

Marathon Petroleum's refining & marketing margin per barrel in Q2 2026, against \$17.58 a year earlier. Adjusted EBITDA \$8.5bn versus \$3.3bn. Net income quadrupled to \$5.1bn. *MPC results release, 4 August 2026.*

304.8m

Barrels in the US Strategic Petroleum Reserve, down 2.84m on the week and 58.1% below the 2010 high of 726.6m. The lowest post-refill level in two decades. *US reserve data, as at 31 July 2026.*

WHAT ACTUALLY HAPPENED

A quota increase that adds no barrels

OPEC+ has spent two years dismantling the production cuts it imposed in 2023. The 2 August decision was the last instalment: seven producers — Saudi Arabia, Russia, Iraq, Kuwait, Kazakhstan, Algeria and Oman — agreed a 188,000 barrel-a-day adjustment effective September, at which point roughly 3.5 million barrels a day of announced cuts will have been formally returned to the market. Delegates have indicated quotas will then hold flat for the rest of 2026. In the communiqué the group tied the move to allowing members "to accelerate their compensation" for volumes overproduced since January 2024, and reaffirmed the commitment to make good on those.

The compensation language matters more than the number. A quota is an upper bound on what a member is permitted to lift; it is not a statement about what the member can physically lift, move and sell. Those are different questions, and in 2026 they have come apart. Reporting on the June balances put the wider OPEC+ group about 7.51 million barrels a day beneath its collective target, with the seven voluntary-cut producers roughly 6.56 million short. Iraq is limited by pipeline capacity and by throughput at Basra. Kazakh loadings were interrupted when drone strikes suspended operations at the Caspian Pipeline Consortium terminal. Russia's refining system is running at its lowest rate since March 2005. Algeria and Oman are described as producing at or near their natural capacity limits.

The IEA's June assessment sharpened the point to something close to absurdity: effective spare capacity across the whole of OPEC+, measured against May 2026, of 0.18 million barrels a day. For most of the past forty years the standard mental model of the oil market has had a shock absorber in it — a few million barrels of Gulf capacity that could be brought on within weeks to cap a price spike. That absorber is, on the agency's own numbers, currently close to empty. Spare capacity that cannot be exported through a functioning route is not spare capacity in any sense a buyer can use.

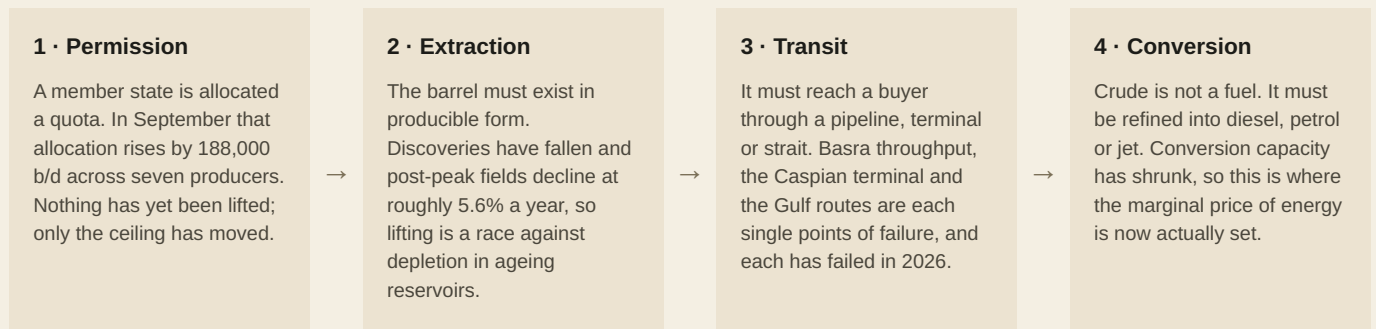
Meanwhile the profits arrived somewhere else entirely. Exxon earned \$14.5bn in the second quarter and Chevron \$12.1bn, both on 31 July, with Chevron's US liquids realisations at \$70.80 a barrel against \$47.77 a year before. But the sharpest move was downstream. Marathon Petroleum's per-barrel refining margin more than doubled. Seven US refinery closures and conversions since 2019 have removed around 1.2 million barrels a day of processing capacity; globally, permanent closures and war damage cut refinery output by an estimated 4.5 million barrels a day, or 5.4%, in the second quarter alone. The crude market is loose enough to sit at \$83. The conversion market is not loose at all.

THE ESSENTIAL DISTINCTION

A production quota is a permission, not a barrel. Spare capacity is a number on a spreadsheet; deliverable capacity is a barrel that can be lifted, moved through a working export route and sold. For most of the last four decades those two were close enough to treat as one. *In 2026 they are 7.5 million barrels a day apart, and every model that still conflates them is mispricing the same risk twice.*

MECHANISM

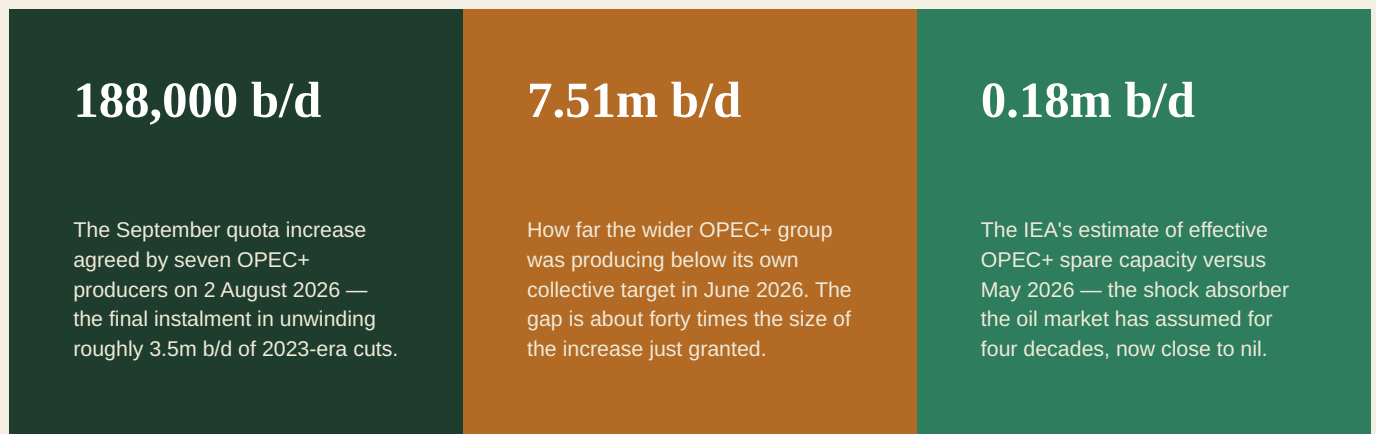
Following one barrel from reservoir to fuel tank



Steps 1 and 3 from OPEC's 2 August 2026 communiqué and June 2026 production reporting; step 2 decline rates from IEA data as cited in the internal Wiki's 30 July entry; step 4 capacity figures from refining-sector reporting dated 23 July 2026. Diagram is a schematic of the value chain, not a quantified flow.

THE THREE NUMBERS

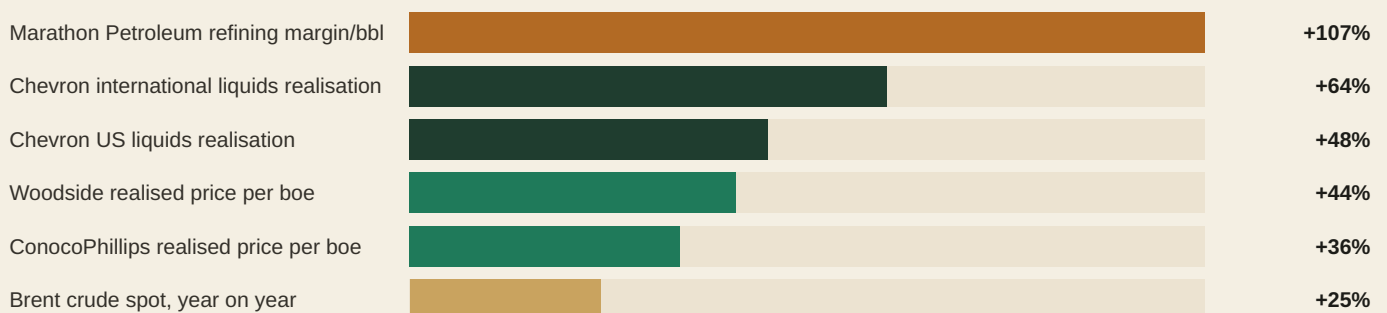
Where the argument actually turns



Left: OPEC press release, 2 August 2026. Centre: OPEC+ June 2026 production versus target, as reported 2026. Right: IEA Oil Market Report, published 17 June 2026. Figures are as published on those dates and are not reconciled to one another; the three sources use different member groupings.

THE CENTRAL COMPARISON

Crude went up. Conversion went up twice as fast.



Year-on-year change, Q2 2026 versus Q2 2025, from company results releases: Marathon Petroleum 4 August 2026 (\$17.58 to \$36.33/bbl); Chevron 31 July 2026 (international \$58.88 to \$96.41, US \$47.77 to \$70.80); Woodside 30 July 2026 (\$59 to \$85/boe); ConocoPhillips 6 August 2026 (\$62.33/boe, +36% as stated). Brent from market data as at 7 August 2026. Bar lengths are illustrative and scaled to the largest value; they are not a common-basis comparison, since a refining margin and a realised price are different quantities.

A USEFUL MENTAL MODEL

The oil market is priced on crude but paid in products. Headlines track the barrel; cash flows track the diesel. When the bottleneck moves from the reservoir to the refinery, the same commodity story produces an entirely different set of winners — *and the sector can post record profits in a quarter when the crude price itself went nowhere in particular.*

WHAT HAS ACTUALLY SHIFTED

Four changes, each cutting both ways

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
OPEC+ has spent its cushion	3.5m b/d of cuts fully unwound as of the September quota; IEA-estimated effective spare capacity of 0.18m b/d versus May 2026; the group producing 7.51m b/d under target in June.	Bullish because the market has lost its shock absorber and any further disruption goes straight into price. Bearish because a cartel with no spare capacity also has no lever left to defend price if demand rolls over — the discipline story stops working in both directions.
The bottleneck moved downstream	Marathon's refining margin at \$36.33/bbl against \$17.58; roughly 1.2m b/d of US capacity removed since 2019; global refinery output down an estimated 4.5m b/d, or 5.4%, in Q2 2026.	Bullish for refiners and for anyone exposed to product rather than crude. Bearish because much of that tightness is a war artifact: Russian crude runs at 3.9m b/d in July, the lowest since March 2005, can be repaired, and repaired capacity deflates the margin that is currently carrying sector earnings.
Inventories are thin	US strategic reserve at 304.8m barrels on 31 July, 58.1% below the 2010 peak; OECD government inventories at their lowest since December 1990 after a 163m-barrel drawdown.	Bullish because there is no buffer against a supply event, and because refilling would itself be a source of demand. Bearish because a government that wants lower fuel prices has an obvious reason not to refill, and because thin inventories are a symptom of past stress rather than a forecast of future scarcity.
Demand is bifurcating	The IEA sees 2026 demand falling 1.1m b/d year on year but 2027 growth rebounding to 2m b/d. China's new-energy vehicles reached a record 63% of passenger-car sales in June 2026, with EV-displaced oil put at 1.4m b/d in the first half.	Bullish because emerging-market ex-China consumption keeps growing and a 2027 rebound would meet a supply base that cannot respond quickly. Bearish because electrification in the single largest importer is a permanent subtraction, not a cyclical one, and it compounds annually.

The two cases at equal strength

The bull case

- **Exploration has been starved for a decade.** Internal Wiki, citing McKinsey's April 2026 "discovery gap" work: resources discovered over the past ten years fell from 331 to 156 billion barrels of oil equivalent, exploration drilling declined about 12% annually against +6% growth in the prior two decades, and exploration spending is down roughly half in real terms since 2015. This is 13D's framing of a third-party study, not a verified market forecast.
- **The shock absorber is gone.** The IEA's own June 2026 number — 0.18m b/d of effective OPEC+ spare capacity — is external, dated, and hard to argue with. It means the next disruption has nothing standing behind it.
- **Refining capacity cannot be rebuilt quickly.** Roughly 1.2m b/d of US processing capacity gone since 2019, no new US refinery since the 1970s, and Chevron's own chief executive on record that there will be "never another new refinery". Margin, once earned, is defensible.
- **Cash generation is real and it is being returned.** Exxon: \$23.6bn operating cash flow, \$17.2bn free cash flow, \$9.4bn distributed in one quarter. Chevron: \$22.6bn operating, \$18.1bn free cash flow on \$4.5bn of capex. These are audited quarterly figures, not projections.
- **Shale is no longer the swing producer.** The EIA's December 2025 outlook has US crude output falling roughly 100,000 b/d in 2026 to 13.5m b/d, ending four consecutive years of growth. The marginal barrel that disciplined prices from 2014 onward is not arriving on cue any more.
- **The sector is under-owned relative to its earnings.** The internal page notes energy at under 3% of the S&P 500 and trading at a 40% discount to the index forward multiple — a 13D observation, and one that sits awkwardly with the sector's 2026 performance.

The bear case

- **The agency closest to the data sees a glut, not a deficit.** The IEA's June 2026 report projects 2027 supply surging 8m b/d to 110.3m b/d against demand of 105.3m — an overhang near 4.7m b/d. That is the single most important external number in this edition and it points the opposite way to the internal thesis.
- **Demand is falling right now.** The same report has 2026 global demand down 1.1m b/d year on year. A structural-scarcity story that coincides with shrinking consumption is being carried by supply disruption, not by the demand side.
- **The price has already told you something.** Brent is \$83.43 with the strategic reserve at a 20-year low, spare capacity near zero, an active Gulf conflict and 3.5m b/d of cuts fully unwound. If those conditions produce \$83 rather than \$126, the marginal buyer is not scarce-bidding.
- **Earnings quality is worse than earnings.** Marathon's profit quadrupled on a refining margin that doubled, and that margin traces substantially to Russian refinery outages and drone damage. Repairs, a ceasefire or restored Russian runs would compress it fast, and a compressed crack spread takes the best-performing part of the sector with it.
- **China's electrification is a compounding subtraction.** Record 63% NEV share of June 2026 passenger-car sales; EV-displaced oil of 1.4m b/d in the first half of 2026, up from 1.0m b/d a year earlier, with the IEA projecting 2.7m b/d by 2030. This does not cycle back.
- **The sector has already been repriced.** Energy overtook technology as 2026's best-performing sector, XLE up 29.4% year to date against 9.3% for the S&P 500 as at 20 July. The internal page's characterisation of "general investor apathy" describes a setup that has, at minimum, been partly consumed.

WHERE THE VIEWS DIVERGE

An unresolved disagreement

The internal Wiki and the external record do not agree about the next eighteen months, and the disagreement is not a matter of emphasis. 13D's July 2026 work treats the discovery gap and the exhaustion of spare capacity as evidence of a supply deficit that is already locked in, with an 18-year base breakout in the NYSE Oil Index as the market beginning to recognise it. The IEA's June 2026 Oil Market Report, published six weeks earlier, forecasts supply rising 8 million barrels a day in 2027 to 110.3 million against demand of 105.3 million — a surplus of roughly 4.7 million barrels a day. Both can be internally consistent: a market can be structurally under-invested over a decade and heavily oversupplied over a single year, because the projects that reach first oil in 2027 were sanctioned years ago and are indifferent to today's exploration budget. But an investor cannot hold both as the operative frame at once, and nothing in the internal page acknowledges the IEA forecast or attempts to reconcile with it. There is a smaller tell in the same direction: the Wiki's 16 July entry puts the US strategic reserve at 319 million barrels, the 30 July entry at 307.65 million, and external data has it at 304.8 million on 31 July. The direction is agreed by everyone. The level, in a page that leans on precision, is not. This edition does not resolve either disagreement.

WHAT TO WATCH FROM HERE

A dashboard, not a forecast

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
September OPEC+ delivery	How much of the 188,000 b/d actually appears in shipping and customs data, versus how much stays on paper.	This is the cleanest available test of whether spare capacity exists at all. If the increase does not show up, the 0.18m b/d figure is confirmed and the quota system has become theatre.
The 3-2-1 crack spread	The gap between what a refiner pays for crude and receives for petrol and diesel — currently at record levels.	It is where sector earnings are actually being generated. It is also the most reversible part of the story, because it depends heavily on outages that can be repaired.
Russian crude runs	Processing volumes, which fell to 3.9 million barrels a day in July — the lowest since March 2005, and more than 1.4 million below a year earlier.	A recovery in Russian refining would put product back into the global pool and compress the margin that is carrying refiner profits. A further decline does the reverse.
Weekly US reserve change	Whether the strategic reserve continues to drain from 304.8m barrels or begins to refill.	A refill programme is physical demand and a policy signal at once. Continued drawdown says the administration still prefers cheap fuel to strategic depth.
China NEV share and crude imports	Whether the 63% June NEV share holds, and whether imports keep recovering from June's near-decade low.	The two work against each other. Import recovery tightens the market this year; electrification erodes the demand base every year after.
Monthly IEA balance revisions	Whether the projected 2027 surplus of roughly 4.7m b/d grows, shrinks or is revised away.	It is the load-bearing number in the bear case. Watching it revised is more informative than arguing about whether it is right.

THREE POSTURES, NOT ONE ANSWER

Coherent ways to hold the theme, and what each costs

Own the constraint

Integrated majors and upstream producers, on the argument that depletion and exploration underinvestment are irreversible and cash returns are already being paid out at scale. **The cost:** exposure to the crude price, which currently embeds a Gulf conflict premium. A de-escalation removes that premium without touching the depletion story at all, and the IEA's 2027 surplus, if it materialises, hits this posture hardest.

Own the conversion

Refiners, on the argument that closed capacity does not reopen and that the bottleneck has migrated downstream, where the margin currently is. **The cost:** the best of that margin is a war artifact. Restored Russian runs or a ceasefire compresses crack spreads quickly, and refining earnings are the most operationally geared part of the chain — the same leverage that quadrupled profits works in reverse.

Own the reinvestment

Oilfield services and offshore drilling, on the argument that a decade of underinvestment eventually forces a capex cycle and services capture it with a lag. **The cost:** the lag may not close. Majors are currently choosing distributions over drilling, and rig-driven supply is not expected before 2027 — so this posture pays for patience with several quarters of nothing happening.

The companies named below are illustrative of the mechanisms discussed in this edition. They are NOT recommendations, and no view is expressed on their suitability, valuation or prospects. Figures are as reported by the companies on the dates shown.

XOM

ExxonMobil Corporation

\$14.5bn net income
Q2 · 31 Jul 2026

The scale case for the upstream posture. Second-quarter net income of \$14.525bn on \$23.6bn of operating cash flow and \$17.2bn free cash flow, with \$9.4bn returned to shareholders against \$6.8bn of quarterly capex. Permian output passed 1.8m barrels of oil equivalent a day, a record, and the company reported record diesel production — placing it on both sides of the crude-versus-conversion split described above.

WATCH NEXT

Whether capex rises toward the depletion problem or distributions keep absorbing the cash flow.

CVX

Chevron Corporation

\$70.80/bbl US realisation
Q2 · 31 Jul 2026

The cleanest read on what producers actually received. US liquids realisations of \$70.80 a barrel against \$47.77 a year earlier, international \$96.41 against \$58.88 — a spread that shows how much of the realised gain is location and grade rather than headline Brent. Net income \$12.1bn, free cash flow \$18.1bn on \$4.5bn of capex, worldwide production 4,070 thousand barrels of oil equivalent a day.

WATCH NEXT

Whether the US-to-international realisation gap narrows as Gulf risk premia move.

MPC

Marathon Petroleum Corporation

\$36.33/bbl margin
Q2 · 4 Aug 2026

The conversion bottleneck in a single line item. Refining and marketing margin of \$36.33 a barrel against \$17.58 in the same quarter of 2025, adjusted EBITDA of \$8.5bn against \$3.3bn, and net income quadrupling to \$5.1bn or \$17.73 a share. Crude throughput of 2,798 thousand barrels a day at 94% utilisation, with \$2.8bn returned to shareholders in the quarter.

WATCH NEXT

Utilisation held at 94% is the ceiling; margin, not volume, is the whole variable here.

COP

ConocoPhillips

\$62.33/boe realised
Q2 · 6 Aug 2026

The pure upstream comparison, reported yesterday. Earnings of \$3.9bn or \$3.23 a share on realisations of \$62.33 per barrel of oil equivalent, 36% higher year on year — the smallest realised uplift among the producers here, reflecting a US-weighted, gas-inclusive barrel. Total production 2,248 thousand boe/d, \$3.0bn of capex and \$3.0bn returned. Full-year guidance reaffirmed; a new chief executive and chief financial officer were named alongside the results.

WATCH NEXT

Third-quarter guidance of 2.29–2.32m boe/d against flat capex — growth without spending, for now.

HAL

Halliburton Company

\$5.7bn revenue
Q2 · 21 Jul 2026

The services lag, in progress. Revenue of \$5.7bn against \$5.4bn in the first quarter, net income \$534m and diluted earnings of \$0.64 a share. North America \$2.3bn, up 7% sequentially; international \$3.4bn, up 5%, with Europe and Africa strongest at 19% and Middle East and Asia down 2% on regional conflict. Roughly \$200m of buybacks. Management guided to incremental North American improvement through the year.

WATCH NEXT

Sequential North American growth is the first place a genuine capex response would appear.

WDS

Woodside Energy Group

\$85/boe realised
Q2 · 30 Jul 2026

The gas and LNG expression, and a caution about volumes. Operating revenue of \$4.18bn, up 28% year on year, on realised pricing of \$85 per barrel of oil equivalent against \$59 — but production fell 18% to 41.3m boe, so the revenue gain was price, not output. Liquidity around \$8.2bn, net debt \$9.3bn, gearing 21%. The Scarborough project is reported at 98% complete with first LNG cargo targeted for the fourth quarter of 2026.

WATCH NEXT

Scarborough first cargo — new LNG supply arriving into the IEA's projected 2027 overhang.

The bottom line

What was repriced in the second quarter was not crude. Brent is up a quarter on the year and remains far below its April peak, and the producers' realised gains — 36% at ConocoPhillips, 44% at Woodside, 48% on Chevron's US barrel — sit broadly in that range. What repriced violently was the right to turn a barrel into a fuel. Marathon's refining margin doubled and its profit quadrupled. The scarcity that the market paid for was conversion capacity, not oil in the ground, and the OPEC+ decision of 2 August is best read as confirmation that the ceiling on production stopped being the binding constraint some time ago.

The evidence does not point one way. A cartel with 0.18 million barrels a day of effective spare capacity is one disruption away from a price event, and a decade of halved exploration spending is a real fact about the 2030s. Against that, the agency closest to the physical data expects a 4.7 million barrel a day surplus in 2027, demand is falling this year, and the most profitable part of the sector is earning its margin from damaged Russian refineries. The reasonable inference is narrower than either side would like: the sector's current earnings are genuine but their composition is fragile, and the structural argument is about a decade while the tradeable argument is about a bottleneck that can be repaired. The next real test is whether September's 188,000 barrels a day actually shows up in the export data. If it does not, the spare-capacity assumption that underpins most oil forecasting needs rewriting.

Editorial note. This document is educational commentary prepared for internal use at Heyokha Brothers. It is not investment advice, not a recommendation, and not an offer or solicitation to buy or sell any security. Companies and instruments are named only to illustrate the mechanisms under discussion; no view is expressed or implied on their merits. All external figures carry an as-of date and were verified against the sources listed below at the time of writing; markets move and figures date quickly. All internal material is drawn from the firm's research Wiki and represents the opinions of named third-party research providers, labelled throughout as views rather than forecasts or facts. Where internal and external sources conflict, both positions are stated and the conflict is left unresolved rather than adjudicated. No figure appears here that could not be traced to a dated source; figures that could not be verified were dropped.

Sources and update notes

(a) Internal. Primary page: **Oil & Gas** (theme, created 23 June 2026, last_reviewed 20 July 2026, 10,376 words) — sections used: Thesis; The bear case & what breaks it, with its sub-sections on recession, energy transition and OPEC+ discipline; Contradictions; Companies; "July 2026: the discovery gap and the underinvestment bill — plus the breakout"; "July 2026: SPR depletion, crack spreads, and diesel tightness"; "July 2026: Energy breakout signals and the diesel-inflation channel". Note that the page carries dated entries later than its own last_reviewed stamp. Provider issues relied on: **13D WILTW, 30 July 2026** (energy underinvestment, the McKinsey discovery-gap material, Reuters inventory estimate, Russia as commodities winner); **13D WATMTU, 26 July 2026** (energy breakouts); **13D WATMTU, 19 July 2026** (NYSE Oil Index 18-year base, PSCE back-test); **13D WILTW, 16 July 2026** (strategic reserve level, crack spreads, China import dynamics, Red Sea risk); **13D WILTW, 2 July 2026** (H1 index return, energy discount to the S&P); **Greed & Fear, 30 July 2026** (reserve level, China NEV share and EV-displaced oil); **Greed & Fear, 16 July 2026** (Russian crude runs, diesel transmission mechanism, Saudi export routing); **13D WILTW, 23 January 2025** (emerging-market ex-China demand). The Contradictions section of the page is empty, stating only that contradictions "may emerge" as later sources are compiled.

(b) Limitation on the internal view. The provider concentration on this page is close to total. Of the 54 sources listed in its frontmatter, roughly fifty are 13D Research issues — WILTW and WATMTU — with a small number of Greed & Fear notes and a single Solid Ground reference appearing only through backlinks. No White Box, Marc Faber, HS Dent or Gary Shilling material feeds this theme at all. That matters because 13D is a technically-driven house with an explicit hard-assets worldview and a documented position favouring energy equities since February 2021; its priors on this theme run in one direction, and a page assembled almost entirely from one publisher will reproduce that house's blind spots as well as its insights. The empty Contradictions section is the visible symptom: a theme this contested should have accumulated internal disagreement by now, and the absence of any is a property of the sourcing rather than of the subject. Every bear-case point in this edition beyond the four thinly-sketched sub-sections on the page was therefore built from external reporting and from tensions inside the companies' own reported results — chiefly the observation that the largest profit growth in the sector came from a margin traceable to war damage.

(c) External sources. (1) OPEC press release, 2 August 2026 — 188,000 b/d adjustment for September, seven participating countries, compensation language. (2) World Oil, 2 August 2026 — completion of the ~3.5m b/d unwind, expectation of flat quotas for the remainder of 2026, technical and operational constraints on members. (3) Trading Economics market data, as at 7 August 2026 — Brent \$83.427/bbl (+1.14% day, +6.93% month, +25.28% year), WTI \$78.068, Henry Hub natural gas \$2.6322. (4) IEA Oil Market Report, 17 June 2026 — 2026 demand -1.1m b/d, 2027 demand 105.3m b/d, 2027 supply 110.3m b/d after an 8m b/d rise, OECD government inventories down 163m barrels to their lowest since December 1990, effective OPEC+ spare capacity

0.18m b/d versus May 2026, refinery throughput contracting 2m b/d in 2026. (5) OPEC+ June 2026 production analysis — group 7.51m b/d below collective target, seven voluntary-cut producers 6.56m b/d below, with constraints itemised for Iraq, Kazakhstan, Russia, Algeria and Oman. (6) ExxonMobil Q2 2026 results, 31 July 2026 — net income \$14.525bn, EPS \$3.48 reported and \$3.52 adjusted, operating cash flow \$23.6bn, free cash flow \$17.2bn, capex \$6.8bn, distributions \$9.4bn, upstream production 4,514 koebd, Permian above 1.8m boe/d. (7) Chevron Q2 2026 results, 31 July 2026 — net income \$12.072bn, adjusted \$11.977bn, EPS \$6.11, operating cash flow \$22.6bn, free cash flow \$18.1bn, capex \$4.5bn, production 4,070 MBOED worldwide and 2,077 MBOED US, US liquids realisation \$70.80/bbl versus \$47.77, international \$96.41 versus \$58.88. (8) Marathon Petroleum Q2 2026 results, 4 August 2026 — net income \$5.1bn and EPS \$17.73 versus \$1.2bn and \$3.96, adjusted EBITDA \$8.5bn versus \$3.3bn, refining and marketing margin \$36.33/bbl versus \$17.58, crude throughput 2,798 kb/d at 94% utilisation, \$2.8bn returned. (9) ConocoPhillips Q2 2026 results, 6 August 2026 — earnings \$3.9bn and \$3.23/share, adjusted \$4.0bn, production 2,248 MBOED, realised price \$62.33/boe up 36% y/y, capex \$3.0bn, distributions \$3.0bn, Q3 guidance 2.29–2.32m boe/d. (10) Halliburton Q2 2026 results, 21 July 2026 — revenue \$5.7bn, net income \$534m, diluted EPS \$0.64, North America \$2.3bn (+7% q/q), international \$3.4bn (+5% q/q), ~\$200m buybacks. (11) Woodside Energy Q2 2026 report, 30 July 2026 — operating revenue \$4.18bn (+28% y/y), realised \$85/boe versus \$59, production 41.3 mmmboe (–18%), liquidity \$8.2bn, net debt \$9.3bn, gearing 21%, Scarborough 98% complete. (12) US strategic reserve data, as at 31 July 2026 — 304.8m barrels, –2.84m on the week, 58.1% below the 726.6m peak of 2010. (13) Refining-sector analysis, 23 July 2026 — record crack spreads, ~1.2m b/d of US capacity removed across seven closures and conversions since 2019, global refinery output down an estimated 4.5m b/d or 5.4% in Q2 2026, Russian crude processing at a two-decade low. (14) Sector performance data, as at 20 July 2026 — energy sector +29.4% year to date against technology +23% and the S&P 500 +9.3%. (15) EIA Short-Term Energy Outlook commentary, 12 December 2025 — US crude production forecast at 13.5m b/d in 2026, about 100,000 b/d below 2025, ending four years of growth.

(d) Editorial choices in this automated run. Topic selection followed the standing hot-first procedure: every entity appearing in Wiki source summaries published in the twenty-one days to 7 August 2026 was scored three points for an appearance in the last three days, two within seven, one within twenty-one, plus three for being named in a source's title. Restricted to active themes, the ranking ran Gold 19, AI Capex 14, Gold Miners 14, **Oil & Gas 14**, China Equities 12, Silver 11, China AI 11. AI Capex (4 August) and Gold Miners (5 August) are known recent editions and were excluded. Gold, though top-ranked, was also set aside: its score is driven by the same 13D WATMTU issue of 2 August that drove Monday's Gold Miners edition, and running it today would reproduce that edition rather than extend it. Oil & Gas was the highest-scoring theme that was both eligible and substantively distinct, and it carried a live catalyst in the 2 August OPEC+ decision. **The cooldown check could not be completed as designed.** The archive folder on the user's desktop was unreachable — this run was started by a schedule, and no device bridge is available to a scheduled session, so no remote-devices tooling was present to enumerate prior filenames. The cooldown set used here therefore contains only the two editions known in advance (4 August AI Capex, 5 August Gold Miners) plus the judgment call on Gold described above; any other topic published in the preceding thirty days could not be checked and may be repeated. For the same reason this edition could not be written into the HB Wiki Learning folder automatically and has been delivered to the session instead. No other tool failures occurred: the Wiki MCP server, web search and web fetch all responded normally, with the single exception of two publisher pages that returned access errors and were replaced with alternative sources for the same figures.